

DigitalBridge's \$1.1B ArcLight Deal Shows Power, Not Real Estate, Is Now the Data Center Bottleneck

Data center developers are buying power developers to bypass grid delays, shifting capital allocation from real estate to energy infrastructure.

The most important number in DigitalBridge's \$1.1 billion acquisition of ArcLight is not the price. It is the bottleneck it is designed to bypass. Data center developers are no longer constrained by land, zoning, or construction costs. They are constrained by power. The grid cannot deliver electricity fast enough to match the 18-to-24-month build timelines that hyperscalers demand. Utilities operate on 30-to-40-year asset cycles. The mismatch is not a logistical inconvenience.

It is a structural barrier to revenue. DigitalBridge is not buying a power company. It is buying time. ArcLight gives DigitalBridge the ability to develop generation capacity alongside its data center campuses, reducing dependence on utility interconnection queues that can stretch years. The same logic drove Alphabet's \$4.75 billion acquisition of Intersect, a clean energy developer.

As Intersect CEO Sheldon Kimber put it, the business model for electricity has shifted toward a “bring your own generation” framework. This is not a diversification play. It is a vertical integration play driven by a single constraint: speed to power. What the market is seeing is a fundamental reallocation of capital within the data center capital stack. Real estate costs are no longer the primary driver of total project economics.

Power and cooling infrastructure now represent a growing share of capital allocation, even though they account for a smaller percentage of total deal value. The implication is straightforward: developers who control their own power supply will capture a larger share of the economic surplus. Those who rely on the grid will face delays, cost overruns, and compressed returns. The capital markets are responding accordingly.

Strategic investors like NVIDIA and Dell are appearing in multiple data center funding rounds, not to diversify their bets but to shape standards and secure supply chains. Private equity platforms like DigitalBridge are consolidating around companies that can control capacity. The market is fragmenting around bottlenecks, and the bottleneck is power. Nuclear power is emerging as the long-duration solution that hyperscalers are betting on.

Google, Microsoft, and others are forming partnerships to develop new nuclear technology and restart retired plants. The thesis is that reliable, carbon-free generation can solve the speed-to-power problem if licensing and deployment timelines can be accelerated. This is a bet that capital and technology can outrun regulatory inertia. If it works, data centers become less dependent on utility cooperation and local grid capacity.

If it does not, developers will continue hitting delays that squeeze returns and push projects into higher-risk jurisdictions. Who benefits from this shift? Platform companies that can integrate power development into their data center pipelines. DigitalBridge, with ArcLight, gains a structural advantage over developers that must negotiate with utilities project by project. Alphabet, with Intersect, secures a dedicated energy supply chain for its hyperscale ambitions.

The winners are those who internalize the bottleneck. Who is exposed? Developers without power development capabilities. Lenders underwriting data center projects that depend on utility interconnection timelines they cannot control. And utilities themselves, which risk being bypassed entirely as the largest power consumers become power producers. The next phase of the data center market will not be defined by who owns the best real estate.

It will be defined by who controls the cheapest, fastest power. DigitalBridge's \$1.1 billion bet is a signal that the industry has already made its choice.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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